

Equity Research Report: NVIDIA Corporation

Business Overview

NVIDIA, founded in 1993, is a technology leader in semiconductors and AI, providing GPUs, CPUs, and AI software. It excels in data centers, gaming, and automotive markets. Key strengths include CUDA, AI leadership, and a robust ecosystem. Major clients are global cloud providers and enterprises, with significant presence in Asia-Pacific and North America. The company leads in AI and data center solutions, leveraging trends like generative AI. Challenges include trade restrictions and supply chain issues. Recent initiatives involve product launches and partnerships to bolster AI capabilities, emphasizing innovation and ecosystem expansion.

Market Position

NVIDIA leads in AI and data center solutions, leveraging trends like generative AI. It has a significant presence in Asia-Pacific and North America, with major clients including global cloud providers and enterprises. Its market share is substantial in the semiconductor industry, driven by its innovative products and strategic partnerships.

Operating Results

Revenue surged 114% YoY to \$130.5B, driven by 142% growth in Data Center revenue from Hopper and Blackwell architectures. Compute & Networking (145% YoY) and Gaming (9% YoY) were key contributors. Gross margin expanded to 75.0% from 72.7%, aided by higher Data Center revenue mix. Operating expenses rose 45% to \$16.4B, reflecting R&D; and staff expansion. Net income jumped 145% to \$72.9B, with diluted EPS rising 147% to \$2.94. Strong margins and revenue growth supported robust profitability.

Financial Metrics

FY (USD mn)	2021	2022	2023	2024	2025
Revenue	16675	26914	26974	60922	130497
Revenue Growth	-38.0%	-0.2%	-55.7%	-53.3%	682.6%
Gross Revenue	10396	17475	15356	44301	97858
Gross Margin	0.62	0.65	0.57	0.73	0.75
EBITDA	5691	11351	5987	35583	86137
EBITDA Margin	0.34	0.42	0.22	0.58	0.66
FCF	5822	9108	5641	28090	64089
FCF Conversion	1.34	0.93	1.29	0.94	0.88
ROIC	17.1%	24.6%	12.2%	51.3%	75.3%
EV/EBITDA	58.62	54.72	81.03	43.45	33.78
PE Ratio	75.43	62.68	109.09	51.83	39.9
PB Ratio	19.34	22.97	21.56	35.89	36.66

FinRobot

<https://robotmusk.com/>

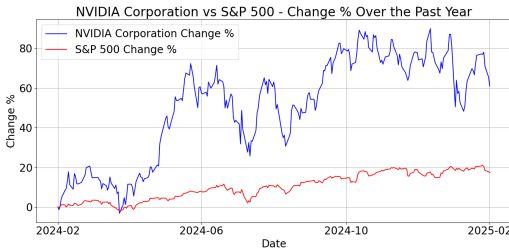
<https://github.com/zhairen>

Report date: 2025-02-26

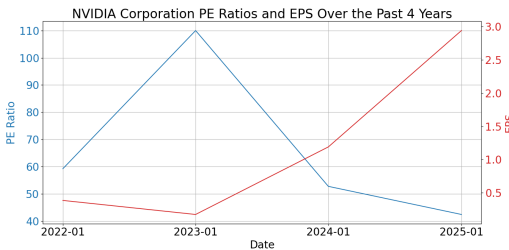
Key data

Rating	buy
Target Price	Failed to retrieve data: 403
6m avg daily vol (USDmn)	254.20
Closing Price (USD)	126.61
Market Cap (USDmn)	3208614.48
52 Week Price Range (USD)	78.90 - 147.80
BVPS (USD)	3.23

Share Performance



PE & EPS



Risk Assessment

The true risk landscape of NVIDIA Corporation is multifaceted, with supply chain vulnerabilities, regulatory and geopolitical constraints, and a highly competitive market environment posing significant challenges. These risks are interconnected, and their cumulative impact can be substantial, shaping the company's strategic decisions, financial performance, and long-term growth prospects.

Competitors Analysis

The financial analysis of NVIDIA (NVDA) and its competitors AMD and INTC across the years 2020 to 2023 reveals a complex landscape of performance, with NVDA consistently outperforming in several key metrics while facing challenges in others. In terms of profitability, NVDA demonstrated a strong EBITDA Margin in 2020 at 66%, significantly higher than AMD's 20% and INTC's 2%. This trend continued through 2021, where NVDA's EBITDA Margin slightly declined to 58%, still well above AMD's 18% and INTC's 21%. However, by 2022, NVDA's EBITDA Margin dropped to 22%, while AMD improved to 23% and INTC to 25%. In 2023, NVDA's EBITDA Margin rebounded to 42%, surpassing both AMD's 25% and INTC's 43%, indicating a recovery in profitability.